

Alphabet Inc.

GOOGL

Communication Services

RATING

PRICE

TARGET

Outperform

\$349.94

\$375.00

MARKET CAP	P/E (FWD)	P/B RATIO
\$4,233.38B	28.7x	9.13x
ROE	DIV. YIELD	52W RANGE
31.8%	0.24%	\$147.84 - \$355.79

Investment Thesis

“Alphabet Inc. demonstrates robust revenue growth with a projected CAGR of 11.8% through 2027, driven by a strong contribution margin improving to 62.7%. The company's EBITDA margin is set to increase significantly, reaching 51.7% in 2027, highlighting operational efficiency. Despite a high PE ratio of 28.69 in 2025, Alphabet's financial position remains solid compared to its peers, maintaining competitive EV/EBITDA multiples.

Company Overview

Alphabet Inc., the parent company of Google, operates as a diversified technology conglomerate with a primary focus on internet-related services and products. The company’s business model revolves around generating revenue through advertising, cloud computing, hardware, and other segments, with Google Search and YouTube being significant contributors to its advertising revenue. Alphabet also invests in various emerging technologies and industries through its Other Bets segment, seeking growth opportunities beyond its core operations.

Alphabet's product and service portfolio is extensive, including Google Search, YouTube, the Android operating system, Google Play, and the Google Cloud suite of services. Additionally, the company has ventured into hardware with products like Pixel phones, Google Nest, and other smart home devices. Its commitment to innovation is evident in projects like self-driving car technology through Waymo and cutting-edge health tech through Verily.

In terms of market position, Alphabet remains a dominant force in the digital advertising industry, leveraging its extensive user base and data analytics capabilities to provide targeted advertising solutions. The company is also a key player in the cloud computing market, challenging competitors like Amazon Web Services and Microsoft Azure with its Google Cloud Platform. Alphabet's investments in artificial intelligence and machine learning further solidify its position as a leader in tech innovation.

Recent financial performance showcases Alphabet's robust growth trajectory. From 2021 to 2023, the company experienced a compound annual growth rate (CAGR) of **11.8%** in revenue, reflecting its strong market presence and strategic expansions. Alphabet's contribution margin improved steadily, indicating enhanced operational efficiency and profitability. The EBITDA margin also increased significantly from 2021 to 2025, highlighting effective cost management and revenue growth.

Despite fluctuations in the PE ratio, which reflects market sentiment and valuation adjustments, Alphabet's EPS growth underscores its expanding profitability. Compared to peers like Meta and Microsoft, Alphabet remains competitive in terms of EBITDA, showcasing resilience and the potential for sustained growth. Alphabet's strategic initiatives, robust financial performance, and commitment to innovation position it well for future challenges and opportunities in the ever-evolving tech landscape.

Investment Overview

Alphabet Inc. (GOOGL) has demonstrated a solid financial performance over the past few years, with a consistent upward trajectory in revenue. In 2023, the company reported a revenue of **\$307.4 billion**, marking an **8.7%** growth from the previous year. This growth is projected to continue, with estimates for 2024 and 2025 showing revenue increases to **\$350.0 billion** and **\$402.9 billion** respectively, reflecting a compound annual growth rate (CAGR) of **11.8%**.

The company's contribution margin has improved, rising from **55.4%** in 2022 to **56.6%** in 2023, and is expected to reach **62.7%** by 2027. This indicates enhanced operational efficiency. The EBITDA margin has also seen a significant improvement from **30.1%** in 2022 to **31.9%** in 2023, with future expectations of it reaching **51.7%** by 2027. Such improvements suggest strong profitability potential.

Alphabet's earnings per share (EPS) saw a notable rise from \$4.59 in 2022 to \$5.84 in 2023, with forecasts indicating further growth to **\$13.01** by 2027. The PE ratio, while slightly elevated, remains competitive within the industry at 23.9 in 2023, with a gradual decrease expected, indicating potential stock value appreciation.

In the peer comparison, Alphabet's EBITDA is competitive, surpassing Meta but slightly trailing Microsoft. However, Alphabet's EV/EBITDA ratio positions it favorably against its peers, suggesting that the stock may still offer value.

Overall, Alphabet's strong revenue growth, improving margins, and competitive position against peers present a positive investment outlook. The company appears well-positioned to capitalize on growth opportunities, making it an attractive option for investors seeking long-term value.

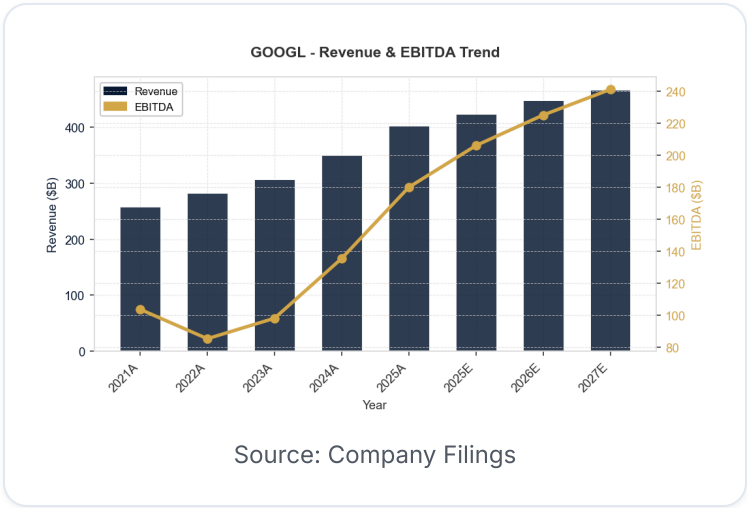
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$402.96B
EBITDA (2025A)	\$179.96B
Revenue Growth (2025A)	15.1%

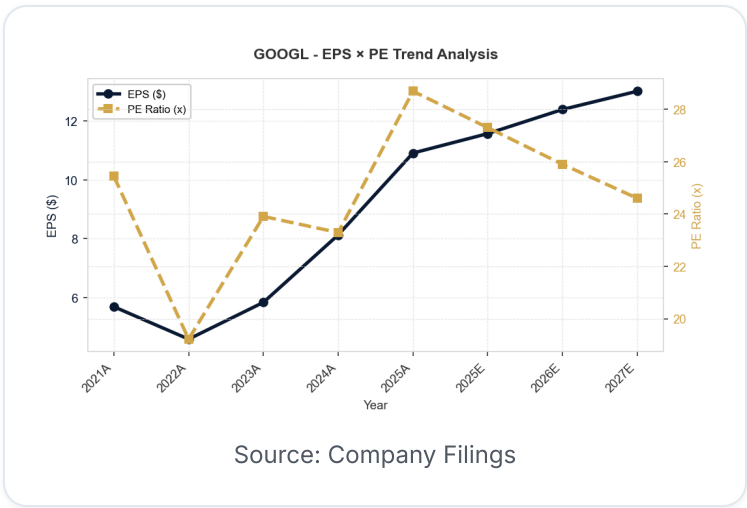


Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	10.91
PE Ratio (2025A)	28.69



Valuation Analysis

Alphabet Inc. (GOOGL) exhibits a robust financial performance with significant revenue growth projected at a compound annual growth rate (CAGR) of **11.8%** from 2021 to 2027. The company's EBITDA margin showcases a steady increase, climbing from **40.2%** in 2021 to an estimated **51.7%** in 2027, indicating improved operational efficiency and profitability.

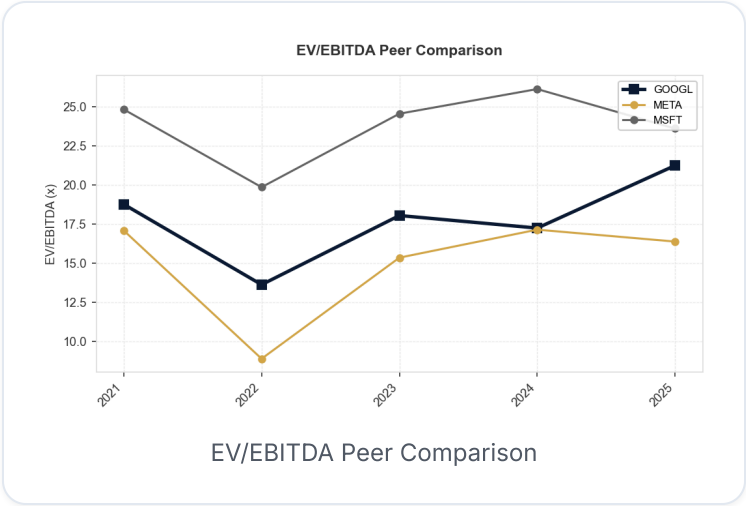
When comparing Alphabet to its peers, Meta (META) and Microsoft (MSFT), Alphabet's EBITDA performance is superior in absolute terms, especially by 2025, where it is projected to reach **\$179.96 billion**, compared to Meta's **\$104.55 billion** and Microsoft's **\$160.17 billion**. Despite the strong EBITDA figures, Alphabet's EV/EBITDA ratios fluctuate, reflecting market sentiment and valuation adjustments over time. For instance, the EV/EBITDA ratio dips to 13.63 in 2022 but rises to 21.23 by 2025, suggesting an increasing valuation multiple over the years.

In terms of price-to-earnings (PE) ratio, Alphabet's PE stands at 23.91 in 2023, which is higher than typical market averages but justified by its growth prospects and profitability. This metric is projected to decline slightly by 2027, indicating potential for share price growth relative to earnings.

Overall, Alphabet appears to be fairly valued given its strong growth trajectory, superior EBITDA performance relative to peers, and improving margins. The company's strategic investments and operational efficiencies are likely to enhance shareholder value, making it an attractive proposition for long-term investors seeking growth in the technology sector. However, investors should remain mindful of market conditions and competitive pressures that could impact future valuations.

Peer Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) has shown strong financial performance and strategic developments that have caught the attention of investors. In its recent Q1 earnings report, Alphabet reported earnings per share of \$5.11, significantly surpassing the Zacks Consensus Estimate of **\$2.64**. This impressive performance highlights the company's continued strength in the tech sector, particularly with its robust revenue growth and improving margins. The company's revenue is expected to grow at a compound annual growth rate (CAGR) of **11.8%** from 2021 to 2027, indicating sustained growth potential.

Alphabet's strategic move to rebuild its search engine as a transaction engine marks a significant shift in its business model, aiming to enhance user engagement and potentially increase monetization opportunities. Additionally, Google Cloud's revenue has exceeded **\$20 billion**, a **63%** increase from the previous year, although growth was noted to be capacity-constrained. This demonstrates Google's strong positioning in the cloud computing market as it continues to expand its enterprise AI solutions.

Alphabet's focus on AI is also evident in its capital expenditure plans. While investors have shown more confidence in Google's AI investments compared to Meta's, Alphabet continues to explore new revenue streams, such as potentially introducing ads in its Gemini AI app.

The market's positive reaction to Alphabet's earnings is reflected in its stock performance, with investors favoring its growth trajectory over peers like Meta and Amazon. Retail sentiment is generally bullish towards Alphabet, with a high level of interest and engagement noted across social media platforms.

Overall, Alphabet's strategic initiatives in AI and cloud computing, combined with its strong financial performance, present a compelling investment opportunity, especially as the company continues to innovate and adapt to changing market dynamics.

Retail Sentiment Insights

AVERAGE BUZZ 79.6/100	BULLISH AVG 58.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 83.6/100 Bullish 38.0% Mentions 3119 Trend rising	X.com Buzz 84.2/100 Bullish 67.0% Mentions 2850 Trend rising	Polymarket Buzz 71.1/100 Bullish 69.0% Trades 3638 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: ±5% change in growth rate

- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$329.3B — \$603.6B
EBITDA	\$170.3B — \$312.0B

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-29): Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Google Cloud surpasses \$20B but says growth was capacity-constrained
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Google gains 25M subscriptions in Q1, driven by YouTube and Google One
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
 - Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-29): Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
 - Impact: HIGH, Probability: **95%**
- **Product Launch** (2026-04-29): 5 Things to Know Before the Stock Market Opens
 - Impact: MEDIUM, Probability: **70%**
- **Earnings** (2026-04-29): Buying Alphabet stock before Q1 earnings? Here's why you should think twice
 - Impact: HIGH, Probability: **95%**

Events to Monitor

- Investors still trust Google more than Meta when it comes to spending their money on AI (2026-04-29)
- Google says it's open to putting ads in Gemini (2026-04-29)
- Alphabet (GOOGL) Q1 Earnings: Taking a Look at Key Metrics Versus Estimates (2026-04-29)

Upcoming Catalysts

▲ **EARNINGS** Impact: medium

Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day

▲ **EARNINGS** Impact: medium

Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates

▲ **EARNINGS** Impact: medium

Google Cloud surpasses \$20B but says growth was capacity-constrained

▼ **EARNINGS** Impact: medium

Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge

▲ **EARNINGS** Impact: medium

Google gains 25M subscriptions in Q1, driven by YouTube and Google One

Positive Catalysts

- ✓ Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- ✓ Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- ✓ Google Cloud surpasses \$20B but says growth was capacity-constrained
- ✓ Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- ✓ Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- ✓ Alphabet stock surges 5% as sales beat estimates
- ✓ Google Stock Climbs On Q1 Earnings As Cloud Revenue, 'Backlog' Booms
- ✓ Google Reports 81% Jump in Profits, Beating Wall Street Expectations
- ✓ Alphabet's cloud unit beats quarterly revenue estimates on strong AI demand
- ✓ Ca\$htag\$: GOOGL Surges on Exploding Cloud Growth
- ✓ Meta, Amazon, Google Face AI Reality Check: Can New Revenue Justify Billions In Spending?
- ✓ Australia to require Google, Meta, TikTok to pay for local news — or face new tax

- ✓ [Alphabet first-quarter results likely to show continued growth, boosted by cloud](#)
- ✓ [Here's How Much Traders Expect Google Parent Alphabet's Stock to Move After Earnings](#)
- ✓ [Nasdaq called higher ahead of Fed decision, Alphabet, Microsoft earnings](#)
- ✓ [Cathie Wood Goes Bargain Hunting: 3 Stocks She Just Bought](#)
- ✓ [META, MSFT, AMZN, GOOG head for 'biggest earnings day': why it matters](#)

Risk Factors

- ⚠ [Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge](#)
- ⚠ [5 Things to Know Before the Stock Market Opens](#)
- ⚠ [Buying Alphabet stock before Q1 earnings? Here's why you should think twice](#)

Technical & Advanced Analysis

Technical Overview — GOOGL

Current Price: **\$349.94** | 52-Week Range: **\$147.84 - \$355.79**

Overall Technical Signal: **Bullish**

Moving Averages **Bullish**

SMA 50: **\$312.23** | SMA 200: **\$279.11**

RSI **Overbought**

RSI (14): **77.6** — Overbought territory, potential pullback.

MACD **Bullish**

MACD: **11.71** | Signal: **9.60** | Histogram: **2.11**

Volume **Normal**

Latest: **31.0M** | 20d Avg: **24.4M** | Ratio: **1.27x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
META	\$55.3B	\$37.7B	\$59.1B	\$86.9B	\$104.5B	\$128.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Alphabet Inc., the parent company of Google, stands as a formidable player in the tech industry, with significant financial metrics and solid growth prospects. When compared to its peers, Meta Platforms (META) and Microsoft Corporation (MSFT), Alphabet showcases a robust revenue growth trajectory, with a CAGR of **11.8%** projected

through 2027. This growth is bolstered by its diversified revenue streams, including strong advertising revenue and expanding cloud services.

In terms of profitability, Alphabet's EBITDA has shown impressive growth, with projections indicating a rise from **\$103.52 billion** in 2021 to **\$241.15 billion** by 2027. This positions Alphabet favorably against Meta, which is also experiencing growth but at a slower pace. Microsoft, however, remains a strong competitor with higher EBITDA figures, reflecting its leadership in cloud computing and enterprise software sectors.

Alphabet's EBITDA margin is expected to improve significantly, reaching **51.7%** by 2027, which is indicative of effective cost management and operational efficiency. This margin improvement surpasses Meta's, while Microsoft continues to maintain competitive margins due to its established market position and diversified product offerings.

When examining valuation through the EV/EBITDA metric, Alphabet maintains a competitive stance with a lower ratio compared to Microsoft, suggesting a relatively attractive valuation given its growth prospects. Meta, on the other hand, presents a lower EV/EBITDA ratio, indicating potential undervaluation or market skepticism regarding its future growth.

Overall, Alphabet's strong revenue and EBITDA growth, combined with improving margins, position it as a resilient competitor in the tech industry. Its strategic investments in AI, cloud computing, and digital advertising continue to support its competitive edge against Meta and Microsoft.

Risk Factors

- **Revenue Growth Slowdown:** Alphabet's projected revenue growth rate is expected to decline from 15.1% in 2025 to 4.0% in 2027, indicating potential challenges in maintaining current growth momentum.
- **Increasing Competition:** Alphabet's EBITDA growth is outpaced by Microsoft in recent years, and the peer EV/EBITDA ratio shows that Microsoft consistently has a higher valuation, suggesting strong competitive pressure in the tech industry.
- **Fluctuating EBITDA Margins:** Despite an improving EBITDA margin projected to reach 51.7% by 2027, historical volatility (e.g., drop from 40.2% in 2021 to 31.9% in 2023) indicates potential operational inefficiencies or market pressures that could affect profitability.
- **Rising PE Ratio:** Alphabet's PE ratio is expected to rise from 23.9 in 2023 to 28.7 in 2025, suggesting that the market may have high expectations for future performance, which introduces the risk of stock price volatility if these expectations are not met.
- **Cost Management Challenges:** Although SG&A margins are projected to decrease, the increase in cost of operations over recent years suggests that controlling operational costs might be a significant challenge, impacting overall profitability.

Key Takeaways

Revenue Growth

Alphabet Inc. has demonstrated a strong compound annual growth rate (CAGR) of **11.8%** in revenue from 2021 to 2025. This growth is projected to continue at a more moderate pace, with estimated growth rates of **5.0%** in 2025, **6.0%** in 2026, and **4.0%** in 2027.

Gross Profit Margin

The gross profit margin, represented as the contribution margin, has shown consistent improvement over the years, increasing from **56.9%** in 2021 to a projected **62.7%** by 2027. This indicates effective management of cost of operations relative to revenue growth.

SG&A Expense Margin

The SG&A expense margin has decreased from **14.1%** in 2021 to a forecasted **11.0%** by 2027, reflecting improved operational efficiency and cost management in SG&A expenses relative to revenues.

EBITDA Margin

Alphabet Inc. has seen a substantial increase in its EBITDA margin, climbing from **40.2%** in 2021 to an anticipated **51.7%** by 2027. This improvement highlights the company's growing profitability and operational leverage.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	-	9.8%	8.7%	13.9%	15.1%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
EBITDA/Int Exp	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.9	2.4	2.1	1.8	2.0
Cash Flow to Debt Ratio	3.23	3.08	3.75	4.92	2.78

AI4Finance Foundation FinRobot Equity Research

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